OUTLOOK

Investor sentiment in the market for debt is ripe for a huge disappointment. Investors are focusing only on the promised rate of interest and not on the safety of their principal. Because only *yield*, not *quality*, is the overriding issue among investors, the desire to invest in junk bonds has been of historic proportion. Such manias are always followed by disappointment.

Wave ③ down, which is now in its early stages of development, will be *more* destructive to values than wave ①. First waves are surprises, but third waves feed on bad news. The only thing holding up this index is the entrenched belief that the economy is safe. This delusion will dissolve quickly when the economic statistics begin coming in below expectations. Then owners of junk bonds will become concerned not with the return *on* their principal, but with the return *of* it. The depression will reveal why they call them junk. If the depression is even half as deep as the waves suggest, it will force the issuers to default.

What is the future for "emerging market" debt? It is no coincidence that recent years have witnessed the first craze for Latin American debt since (guess when) the *late 1920s*. Shortly after that time, almost every South American government defaulted. Such defaults are sure to occur again soon, and on a far bigger scale.

As described in greater detail in Chapter 16, the coming environment will blur the difference among the labels, "corporate bonds," "mortgage debt," "municipal bonds," "insured bonds," "zero-coupon bonds," "emerging-market bonds," and "junk bonds." At some point, almost *all* of it will be junk.

The bear market, which is about to reassert itself, will effect the complete destruction of the junk bond market. The entire low-grade debt house of cards, which showed initial signs of vulnerability with the 60% drop in 1988-1990, will come tumbling down upon the most ill-positioned group of investors in the history of the world.